Guide to Managing Cash Flow & Pricing for Profit

Setting up your finances, staying on top of costs, and pricing to protect your margin.

Source: business.gov.au — Guide to managing cash flow (Australian Government), and Business Victoria — Calculate your breakeven point, margin and markup. Content summarised for iLoca.

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1. Plan Your Cash Flow

Your business plan sets the approach for managing cash flow — it clarifies your goals, how you'll reach them and helps you get funding from banks or investors. Funding options include your own savings, a bank loan, investors, family/friend loans or a government grant; compare costs and risks before choosing.

2. Set Up Your Finances

Records and tools

- Keep records of all sales and costs (receipts, invoices, bank statements) for at least 5 years
- Use a digital accounting tool that shows cash flow in real time and supports Single Touch Payroll if you employ staff
- Set up a cash flow statement to track money in and out, and update it regularly to spot seasonal trends
- Create a budget to plan future costs and direct money to where it's needed most

3. Put Money Aside for Ongoing Costs

Tax and employee costs

Set aside money regularly for GST, PAYG withholding and other tax obligations to avoid penalties. Employee costs — wages, superannuation and allowances — should be built into your budget and cash flow statement so they're never a surprise.

Due dates

Track payroll tax, BAS lodgements, licence renewals, supplier invoices, rent and loan repayments. Setting calendar reminders or scheduling payments in advance helps avoid cash flow stress and fines.

4. Keep Cash Flow Healthy

Practical levers

- Set the right prices and review them regularly against competitors and costs
- Collect payments quickly — follow up unpaid invoices promptly
- Send correct invoices immediately after a sale (a tax invoice if registered for GST)
- Set clear payment terms (e.g. upfront or 30 days) and add them to contracts and invoices
- Manage inventory closely — reorder only when needed, avoid over-ordering
- Negotiate supplier terms, e.g. longer payment windows or bulk discounts

5. Pricing for Profit: Margin, Mark-up and Break-even

Understanding these three figures helps you set prices that actually cover costs and generate profit.

Margin vs mark-up

Mark-up is the percentage added on top of your cost price to reach your selling price. Gross margin is the money left after subtracting the cost of goods sold (COGS) from net sales — it's what's available to cover your overheads. The two are easy to confuse: a 30% mark-up does not equal a 30% margin, it actually yields a smaller margin, since mark-up is calculated on cost while margin is calculated on selling price.

Break-even point

Your break-even point is the level of sales (in dollars or units) needed before your expenses are covered and you start making a profit. In dollar terms: break-even = overhead expenses ÷ (1 – (COGS ÷ total sales)). Reviewing this regularly — alongside your financial statements — helps you catch rising costs early and set realistic sales targets for yourself or staff.

6. Check If You're On Track

Track performance

Compare estimated versus actual income and costs regularly to spot shortfalls early, and update your cash flow statement and budget as you go.

Warning signs of financial trouble

- Struggling to pay bills or relying increasingly on credit
- Delaying supplier payments
- Declining profitability or cost trends heading the wrong way
- Changing customer payment behaviour

Get help early

A financial adviser or accountant can help get accounts in order, manage cash flow and make better financial decisions — engaging early, before problems escalate, gives the most options.